was argued, would enhance value for ICICI shareholders through the merged entity's access to low-cost deposits. It would also enhance value for ICICI Bank shareholders through a larger capital base, access to ICICI's strong corporate relationships built up over five decades, entry into new business segments, and access to the vast human resources of ICICI and its subsidiaries. In October 2001, the Boards of ICICI and ICICI Bank approved the merger of ICICI and two of its wholly-owned retail finance subsidiaries, ICICI Personal Financial Services Limited and ICICI Capital Services Limited, with ICICI Bank. The merger was approved by the shareholders of ICICI and ICICI Bank in January 2002. It was approved by the High Court of Gujarat in March 2002, and by the High Court of Mumbai and the RBI in April 2002.

Consequent to the merger, the ICICI group's financing and banking operations, both wholesale and retail, were integrated in a single entity. There has been no looking back since. ICICI Bank's innovations, acquisitions, and sheer scale of operations are only too well known to bear repetition. In 2005, ICICI Bank became the largest bank in India in terms of market capitalization. By 2006, the SBI, the flag-bearer of Indian banking was under pressure. ICICI Bank had emerged in just over a decade as the second largest bank in India. An article in *Business World* in July 2007 posited that if the growth rates of the two banks were extrapolated, then SBI would have to relinquish its mantle of the country's largest bank (in terms of assets and deposits) to ICICI Bank in four years time. This threat from a private player prompted a broad-based transformation exercise (led by its Chairman O.P. Bhatt) at the SBI, encompassing fundamental changes in technology, processes, and business-mix alike.